

FORM TP 23237



TEST CODE 004372

MAY/JUNE 2003

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION
MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

2½ hours

02 JUNE 2003 (a.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question carries a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

SECTION A

MODULE 1 – BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. (a) Identify and evaluate FIVE ways in which multi-national corporations have impacted on countries of the region. [15 marks]
- (b) Identify TWO ways in which a multinational company may have to adapt its operations to suit the Caribbean business environment. Explain the rationale for, and the possible effect of EACH adaptation on the company. [10 marks]

Total 25 marks

2. (a) Discuss FOUR circumstances under which state control of private business is justified. [8 marks]
- (b) Suggest and justify THREE objectives you think a publicly owned business should pursue. [9 marks]
- (c) (i) With the aid of TWO examples, explain the concept of 'franchising'. [8 marks]
- (ii) Discuss TWO benefits of this practice to the franchisee. [8 marks]

Total 25 marks

SECTION B

MODULE 2 – MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. The OM (Operations Manager) of Flyerbee Airlines is considering delegating the task of procuring food supplies and monitoring aircraft maintenance to two of his supervisors.
- (a) Distinguish between 'delegation' and 'decentralization'. [2 marks]
- (b) Outline TWO benefits and TWO disadvantages of delegation. [8 marks]
- (c) Authority, responsibility and accountability are three concepts related to the process of delegation. Define EACH concept, give an example of EACH and explain how these concepts may impact on the success of the Managing Director's attempt at delegation at Flyerbee. [15 marks]

Total 25 marks

GO ON TO THE NEXT PAGE

4. (a) Distinguish between leadership skills and leadership roles and give an example of EACH. [4 marks]

- (b) Communication, consideration, planning, coaching and inspiration are some of the behaviours expected of effective leaders. Describe EACH of the foregoing behaviours and with the aid of examples, discuss the rôle of EACH in effective leadership. [21 marks]

Total 25 marks

SECTION C

MODULE 3 – BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. Arawak Limited manufactures cutlery, vases and cooking utensils. The firm is short of working capital.

- (a) Identify, describe and explain the impact of THREE alternatives which the firm may use to increase its working capital. [15 marks]

- (b) State THREE criteria Arawak Limited may use to choose among the alternatives identified in (a) above and explain how EACH criterion may be used to make the choice. [10 marks]

Total 25 marks

6. Cornwall School and Office Supplies Ltd. published accounts and recorded the following information for the last two years of operations:

	1999	2000
Profit before tax and interest	\$10 m	\$20 m
Net assets employed	\$300 m	\$250 m
Sales turnover	\$8,200 m	\$700 m

- (a) Using the information above, calculate THREE profitability ratios and use your results to comment on the company's performance in 2000. Assume a tax rate of 25%. [15 marks]
- (b) Explain THREE limitations of accounting ratios and suggest how EACH of these might be overcome. [10 marks]

Total 25 marks

END OF TEST